# Bajaj Auto

Sector: Automobiles

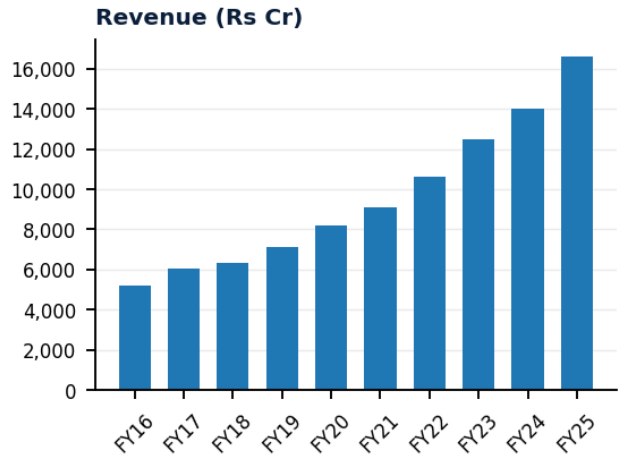
BAJAJ-AUTO

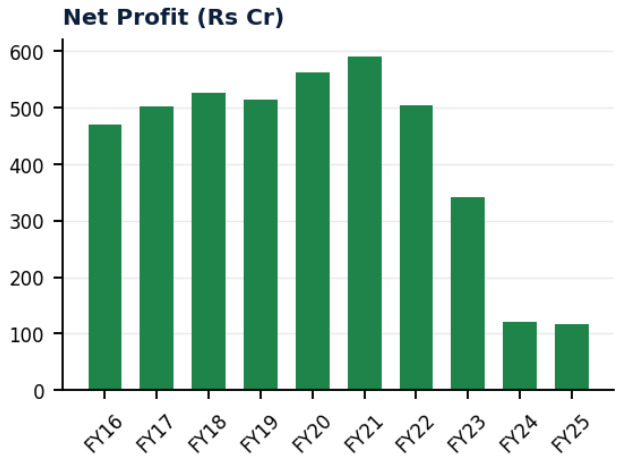
## Key performance indicators (FY2025)

| Revenue (Rs Cr) | Net Profit (Rs Cr) | Operating Margin (%) |
|---|---|---|
| 16,614 | 118 | 3.0% |

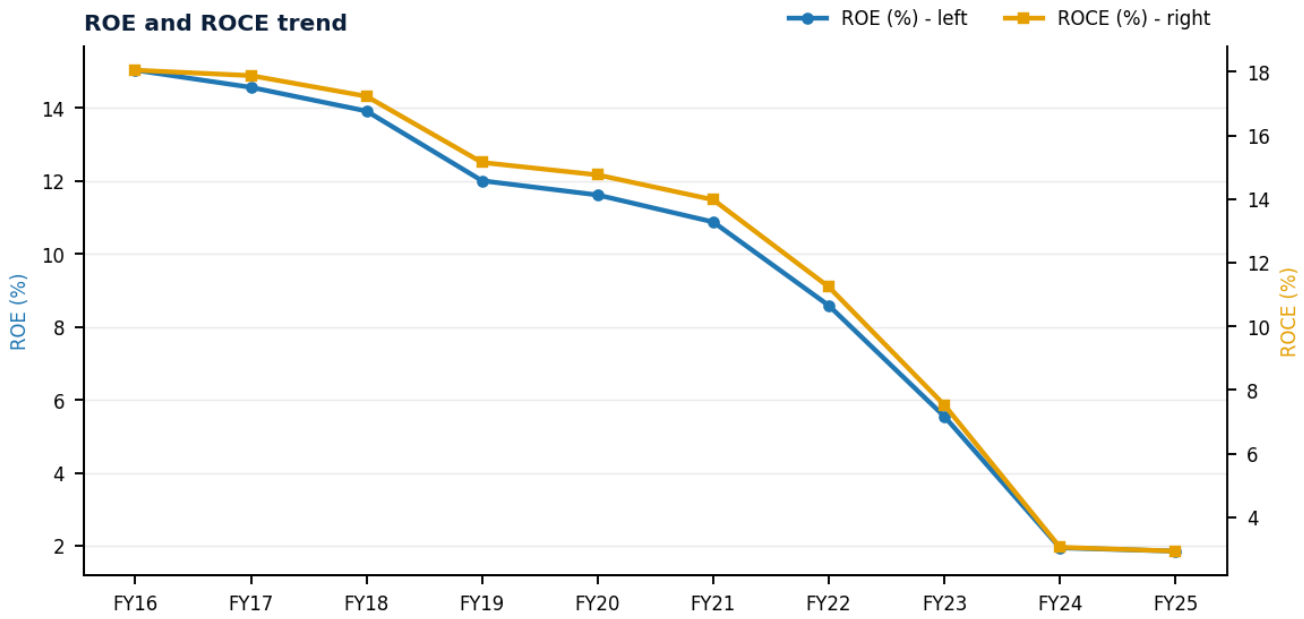
| ROE (%) | ROCE (%) | Debt / Equity (x) |
|---|---|---|
| 1.9% | 2.9% | 0.07x |

## 10-year Revenue and Net Profit

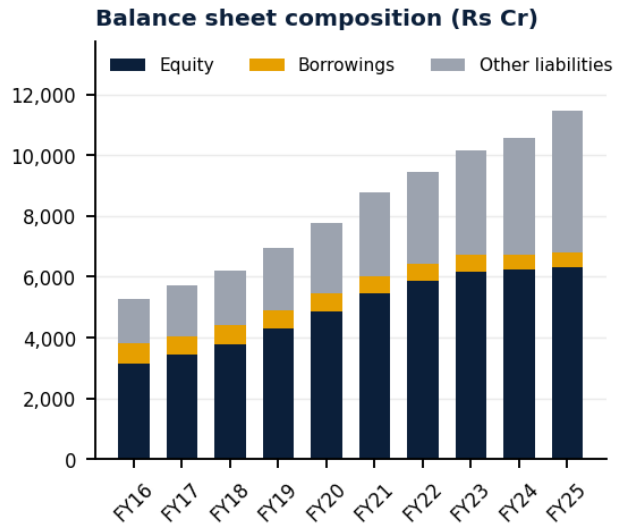


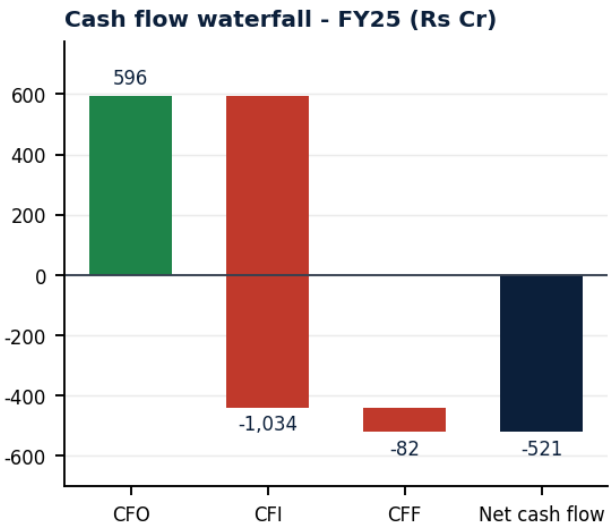




## Return ratios (ROE and ROCE)



## Balance sheet composition and cash flow




## Pros - what the numbers favour

- Growing asset base funded by internal accruals reflects self-sustaining growth (78%)
- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum (60%)

## Cons - what to watch

- Earnings per share declining for 3 consecutive years reflects deteriorating profitability (100%)
- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations (100%)
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital (88%)
- Operating margins declining for 3 consecutive years suggest pricing or cost pressure (82%)

## Capital allocation pattern (FY2025)

**Reinvestor**

## Cash flow intelligence

| CFO quality | CapEx intensity | Distress signal | Deleveraging |
|---|---|---|---|
| **High Quality (2.92)** | **Moderate (6.2%)** | **No** | **Yes - repaying debt** |